



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
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January 8, 2026

VIA ELECTRONIC MAIL

Beth Lewis
California Physicians' Service
P.O. Box 2080
Oakland, CA 94604-9716

Re: Proposed Contract Termination with **Redwood Memorial Hospital**
Block Transfer Filing No. 2026-HOSP-147
Filed on January 5, 2026

Dear Ms. Lewis,

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **California Physicians' Service** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*). In the event of contract termination, the Filing proposes to remove **Redwood Memorial Hospital** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **April 30, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. Regarding the Enrollee Transfer Notice submitted for this Filing, the following information was found missing. Please resubmit the Enrollee Transfer Notice for the Department's review to include the following:
 - a. Please resubmit the Enrollee Transfer Notice using 12-point font to ensure accessibility and regulatory compliance.

Plan has included a new ETN with this response.

2. Please confirm the Plan will utilize the most recently approved eFiling Enrollee Transfer Notice Templates for this Block Transfer Filing. **Plan confirms it will**

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utilize the most recently approved eFiling Enrollee Transfer Notice Templates for this Block Transfer Filing.

3. Please confirm that the Plan is aware that it cannot transition its enrollees or send Enrollee Transfer Notices without the Department's approval. **Plan confirms it cannot transition its enrollees or send Enrollee Transfer Notices without the Department's approval**
4. The Department notes that the Plan has chosen Directly Contracted Network (DCN) as a group that admits to the Terminating Hospital, for the Enrollee Access section of the Block Transfer Filing Form. The Department also notes that the Plan has stated there are no impacted medical groups. Please state whether DCN is impacted by the pending termination or if DCN was selected because a provider group must be chosen for Enrollee Access section of the Block Transfer Filing Form. **Plan confirms DCN was selected because a provider group must be chosen for Enrollee Access section of the Block Transfer Filing Form.**
5. The Plan indicated on the Block Transfer Filing Form that the hospital termination is part of the ST. JOSEPH HEALTH termination. Please confirm if the contract is a stand-alone contract. **Plan confirms it is not a stand alone contract.**
6. Please confirm whether the contract termination between the Plan and Redwood Memorial Hospital impacts Point of Service (POS) enrollees. **Plan confirms the contract termination includes enrollees with the point of service benefit.**
7. The Plan indicates that Acute Neonatal is available at the Terminating Hospital. Please confirm which Alternate Hospital provides each service. **Plan confirms the nearest alternate facility does not provide acute neonatal.**
8. On the filing form, it was reported there are 2,870 PPO enrollees within 15 miles of the Terminating Hospital and zero bed days and admits. Can the Plan please confirm the number of bed days and admits? **Plan confirms there were no elective inpatient admissions at the terminating facility.**
9. The Plan's PPO line of business is licensed by the Department. Please confirm the following:
 - a. The Plan will send an Enrollee Transfer Notice approved by the Department to all PPO enrollees with a 15 mile radius of the Terminating Hospital.
Plan confirms Plan will send an Enrollee Transfer Notice approved by the Department to all PPO enrollees with a 15 mile radius of the Terminating Hospital.

- b. Whether the Plan's PPO providers can admit for and provide all medically necessary services at the Alternate Hospitals, **Plan's PPO providers can admit for and provide all medically necessary services at the alternate hospital.**
10. For each Alternate Hospital, please summarize or confirm the following:
 - a. The Plan contacted the hospital regarding the Block Transfer, **Blue Shield of California contacts the alternate hospitals identified for each Block Transfer Filing. Contact with the hospitals' representatives is prioritized on occupancy rates and service inventories that are required to meet the needs of our members who could be potentially redirected to one of the alternate facilities. The Plan verifies that the alternate hospitals have sufficient available bed capacity to accept additional enrollee admissions should the contract with the terminating hospital actually terminate. Occasionally, when an alternate hospital fails or refuses to respond to a capacity request, it is necessary to refer to the hospital's website and/or hospital self-reported information to the state.**
 - b. Any concerns expressed by the hospital regarding its ability to accommodate the hospital-based needs of enrollees redirected by the Block Transfer, **n/a**
 - c. Whether the Plan has sent or received a notice of contract termination from the Alternate Hospital, and if so, whether that contract is set to terminate within the next six months. **Plan confirms no termination notice has been sent or received from the alternate hospital.**
11. In addition to the in-patient services comparison on the Block Transfer portal, please indicate any of the following services that are available at the Terminating Hospital, but not available at the Alternate Hospital:
 - a. Any out-patient or in-patient services,

If any services are not available at the Alternate Hospital, please explain where affected enrollees will receive these services following contract termination.

Plan asserts no additional service (Neonatal) are not available at the alternate facility.

12. The Plan proposes MAD RIVER COMMUNITY HOSPITAL as an Alternate Hospital. Please explain how the driving time/distance to this hospital fits the normal pattern of practice for travel in the area, or alternatively, identify any waivers or alternate access standards approved by the Department for this area (including the filing number and approval date). **Plan asserts if the termination occurs with Redwood Memorial , Plan will submit timely a alternate access request.**

13. The filing form states the Alternate Hospital, MAD RIVER COMMUNITY HOSPITAL, is not evergreen; however, the contract termination date is March 1, 2099. Please confirm the following:

- a. Is the contract evergreen? **Yes, the contract is evergreen.**
- b. Is March 1, 2099, the correct contract termination date? **3/1/2099 is a placeholder. Disclosure could be harmful because it would expose proprietary and confidential information, relative to the Plan's business processes.**

Are there enrollees who have a residence or workplace within 15 miles or 30 minutes of a contracted hospital prior to termination, but would have a residence or workplace beyond 15 miles or 30 minutes of a contracted hospital post-termination? **Yes, see list and zip codes noted below. Please confirms The Terminating Hospital will be a non-participating facility after the contract termination date. Any admitting HMO medical groups will be advised to redirect admissions to participating facilities. If a delegated medical group authorizes an admission to the Terminating Hospital after the contract termination date, the Plan will process the institutional claim according to the enrollees' Department approved Evidence of Coverage. The Plan allows out of network referrals when a covered service is not available, accessible, or can be provided timely at a participating network hospital or specialty facility within the Plan's network and will allow members to receive that service at a non-participating hospital, as appropriate. The member's policy's in-network benefit levels are applied to authorized out of network referrals. The Plan confirms that Plan enrollees, including POS enrollees using their HMO benefits, may access the Terminating Hospital for authorized covered services at in-network benefit levels.**

95540 – 507 PPO enrollees

95547 – 66 PPO enrollees

95536 – 153 enrollees

95549 – 60 enrollees

786 enrollees in Total

14. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination. **Plan confirms there currently are no open authorizations at the terminating facility. Plan will continue to monitor and report accordingly.**

Please submit the Plan's response by January 15, 2026, via the Block Transfer portal as a "Response to Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,

Elizabeth Doyle

Elizabeth Doyle
Analyst II
Office of Plan Monitoring